EXECUTIVE SUMMARY

1. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as "Pueblo" along with the earlier towns where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making supplying particularly the whole province.

Iguig is a fourth class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be self-reliant, productive agricultural community, vibrant in trade and industry and well known tourist destination where every Iguigueños can live peacefully and prosperously.

The audit covered the accounts and operations of the Municipality of Iguig for the year 2016 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2016, the financial information of the municipality is presented below:

Particulars	2016	2015	Increase/ (Decrease)	
			Amount	Percentage
Financial Condition				
Assets	140,277,378.88	104,783,222.84	35,494,156.04	33.87%
Liabilities	51,298,316.78	58,400,699.98	(7,102,383.20)	(12.16%)
Government Equity	88,979,062.10	46,382,522.86	42,596,539.24	91.84%
Result of Operations				
Income	83,277,914.90	77,056,153.30	6,221,761.60	8.07%
Expenses	60,824,842.15	65,320,630.21	(4,495,788.06)	(6.88%)
Appropriations, Allotments and Obligations				
Total Appropriation	97,713,296.96	87,571,654.00	10,141,642.96	11.58%
Total Obligations	86,093,274.29	78,978,245.74	7,115,028.55	9.01%
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				

Nat'l Gov't Offices	27,683,089.62	12,868,835.23	14,814,254.39	115.12%
Local Gov't Units	3,200,000.00	2,023,000.00	1,177,000.00	58.18%
Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	1,297,114.54	23,000.00	1,274,114.54	5539.63%

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the financial statements due to unreconciled Property, Plant and Equipment accounts with property records due to non-submission of the Report on the Physical Count of PPE as of December 31, 2016 and Real Property Tax (RPT) and Special Education Tax (SET) Receivables balances amounting to P 172,397.85 and P 2,079,265.01 respectively, are unreliable since the amount set up at the beginning of the year was based on estimates and not on the computed amount due and collectibles from taxpayers.

4. Summary of Significant Observations and Recommendations

a. Advances for officers and employees totaling P127,756.00.00 remained unliquidated at year end because management did not follow up demand letters issued to concerned officials and employees.

We recommended that management strictly monitor the demand letters sent to officers and employees concerned in order that their cash advances be immediately settled.

b. Management was not able to adopt measures in intensifying collections of taxes, estimated income appropriated for expenditures in the Annual Investment Plan for CY 2016 amounting P93.764M resulting to a shortfall of estimated income by P11.305M.

We recommended that management intensify collection of revenues in order to realize the budgeted revenues necessary to provide funds to implement all the projects targeted to be accomplished during the year.

c. Only the amount of P4,122,941.32 was funded for LDRRMF during the year out of the total appropriation of P4,288,288.60 due to shortfall of collections of revenues thus affecting the implementation of the programmed projects/activities on this fund.

We recommended that management intensify collection of revenues in order to realize the budgeted revenues necessary to provide funds to implement all the projects targeted to be accomplished during the year.

5. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances & charges as of December 31, 2016:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0
Current Year	0.00	10,000,000.00	0.00	10,000,000.00	0
Total	0.00	10,000,000.00	0.00	10,000,000.00	0
Disallowances					
Prior Years	32,125.00	0.00	0.00	32,125.00	0
Current Year	0.00	0.00	0.00	0.00	0
Total	0.00	0.00	0.00	32,125.00	0
Charges					
Prior Years	0.00	0.00	0.00	0.00	0
Current Year	0.00	0.00	0.00	0.00	0
Total	0.00	0.00	0.00	0.00	0

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the nine prior years' audit recommendations embodied in the 2015 Annual Audit Report, two (2) were fully implemented, five (5) were partially implemented and two (2) was not implemented.